JIAER LIU

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RESEARCH INTERESTS

Finance, Industrial Organization, Market Design

EDUCATION

University of California, Los Angeles — *Los Angeles, USA*
Ph.D. in Economics — Expected 2027
Committee: Pierre-Olivier Weill (Chair), John Asker, Andrew Atkeson, Martin Hackmann, and Lee Ohanian

Tsinghua University — *Beijing, China*
B.A. in Economics and Finance — 2021

WORKING PAPERS

"Design of US Treasury Secondary Market: Venue Sorting, Competing Mechanisms, and Allocative Efficiency"

Job Market Paper | *Selected for the Poster Session at the Macro Finance Research (MFR) Summer Session for Young Scholars, Becker Friedman Institute, University of Chicago*

Abstract: Is the current fragmented structure of the U.S. Treasury secondary market, in which centralized and decentralized venues coexist, optimal? This paper develops a game-theoretic discrete-choice model of venue choice to quantify allocative efficiency under current and alternative market structures. In equilibrium, agents heterogeneous in type sort across venues based on a tradeoff between execution certainty and transaction costs. Moreover, as aggregate risk increases, adverse selection intensifies for limit orders, discouraging limit-order submission, reducing central limit order book depth and thus the amount of trade that can be realized through this centralized venue. In response, agents substitute toward the decentralized over-the-counter venue when risk is high, recovering gains from trade that would otherwise be lost in the centralized venue. Thus, the coexistence of the two venues improves allocative efficiency because they better serve different types of traders and make the market more resilient. Quantifying the model using transaction-level U.S. Treasury secondary market data, this paper finds that the current market structure achieves 87 percent of the first-best allocation and outperforms counterfactual structures, including a fully centralized (de-fragmented) market. These findings provide support for maintaining a fragmented market.

"Venue Participation and Transaction Cost: Evidence from All-to-All China Government Bonds Market"

with Shuo Liu | *Available on SSRN* | *Selected for presentation at the 26th China Economics Annual Conference (CEAC) and the 2026 Chinese Economists Society (CES) China Annual Conference*

Abstract: This paper examines trading activity and transaction cost differences across the Over-the-Counter (OTC) and Central Limit Order Book (CLOB) venues in the China government bonds market. Using novel trade-level data and matching method, we estimate that CLOB lowers transaction costs by 0.66 basis points relative to OTC, highlighting efficiency gains from the centralized trading mechanism. We also document selection in venue participation: CLOB disproportionately facilitates core traders, standardized orders, and newly issued bonds, indicating potential redistributional effects. Despite CLOB's cost advantage, OTC remains active due to complementary benefits, including mitigating information leakage, designating counterparties, and facilitating bond holding position rebalancing.

WORK IN PROGRESS

"Price Schedules and the Transmission of Central Bank Purchases"

PRESENTATIONS

2026: Macro Finance Research (MFR) Summer Session for Young Scholars, Poster Session (UChicago, BFI); Chinese Economists Society (CES) China Annual Conference (SWUFE)*.

2025: Summer Finance Workshop (Tsinghua)*; Southern California Graduate Conference in Applied Economics, macroeconomics session (UCLA).

* Presented by coauthor.

HONORS AND AWARDS

Dissertation Completion Fellowship (with stipend), UCLA	2026–2027
Lewis L. Clarke Data Purchase and Data Collection Award (with grant), UCLA	2026
Tuition Grant, Graduate Division Award, UCLA	2021–2023

TEACHING EXPERIENCE

Macroeconomic Theory (Econ 102, undergraduate upper-division) — Fall 2025, Winter 2026
Teaching Assistant, UCLA. Overall teaching evaluation: 7.65/9.

REFERENCES

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